Introduction to Accounting – Nature, History, Concepts, and Principles

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Every business, no matter how small or large, needs to track its financial activities. A sari-sari store owner must know how much was spent on inventory and how much was collected from customers. A corporation must prepare financial reports for shareholders, banks, and government agencies. This system of tracking, recording, summarizing, and interpreting financial information is called accounting. Accounting is often called the "language of business" because it communicates financial information to those who need it. Without accounting, business owners would operate blindly, unable to know whether they are profitable, solvent, or even still in business.

This reading material discusses the nature, history, and branches of accounting and its offered services. It also identifies the users of accounting information, distinguishing between internal and external users. Finally, it explains the basic accounting framework, including the Generally Accepted Accounting Principles (GAAP) and the Philippine Financial Reporting Standards (PFRS).

Part 1: Meaning, Nature, and Functions of Accounting

What Is Accounting?

Accounting is the process of identifying, recording, classifying, summarizing, interpreting, and communicating financial information to users for decision-making. It is a systematic method of tracking what a business owns, what it owes, and how it performs over time.

The Nature of Accounting

Characteristic	Explanation
Systematic	Accounting follows organized procedures and rules, not guesswork
Historical	Accounting primarily records past transactions (what has already happened)
Quantitative	Accounting deals with numbers and financial amounts, not qualitative opinions
Monetary	Accounting records only transactions that can be expressed in money terms
Analytical	Accounting interprets data to provide meaning, not just numbers
Communicative	Accounting reports financial information to users who need it

The Functions of Accounting

Function	Description
Recording (Journalizing)	Writing down all financial transactions in chronological order
Classifying (Posting)	Grouping similar transactions together (e.g., all sales, all purchases)
Summarizing	Preparing financial statements that show the overall financial position
Interpreting	Analyzing financial statements to explain what the numbers mean
Communicating	Presenting financial information to users in understandable reports

Why Accounting Matters

Reason	Explanation
Decision-making	Managers need accounting information to make informed decisions
Legal compliance	Businesses must file tax returns and other reports required by law
Performance measurement	Accounting shows whether the business is profitable or losing money
Borrowing	Banks require financial statements before lending money
Attracting investors	Investors need accounting information to decide whether to invest

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Part 2: History of Accounting

Accounting did not emerge as a fully formed discipline. It developed over thousands of years in response to the needs of trade, taxation, and commerce.

Ancient Origins

Period	Development
4000-3000 BCE (Mesopotamia)	Clay tokens used to record agricultural goods and livestock. Early evidence of record-keeping.
3000 BCE (Egypt)	Scribes recorded the wealth of pharaohs, including grain storage and tax collections.

1000 BCE (China)	Advanced government accounting systems tracked resources and expenditures.
500-400 BCE (Greece and Rome)	Public officials kept detailed records of revenues and expenses. The term "auditor" (from Latin *audire*, to hear) emerged as officials listened to verbal reports.

The Birth of Double-Entry Bookkeeping

The birth of double-entry bookkeeping is largely credited to Luca Pacioli, an Italian mathematician and friend of Leonardo da Vinci, who in 1494 published *Summa de Arithmetica, Geometria, Proportioni et Proportionalita*—a seminal work that included a detailed description of the double-entry system, earning him the title "Father of Accounting." Double-entry bookkeeping operates on the fundamental principle that every financial transaction affects at least two accounts, where for every debit recorded, there is an equal and corresponding credit. This systematic approach not only ensures mathematical accuracy in financial records but also provides a complete and transparent picture of an entity's overall financial position.

Modern Development

Period	Development
18th-19th centuries	Industrial Revolution created large corporations that needed more sophisticated accounting. Cost accounting emerged to track production costs.
1930s (Great Depression)	Stock market crash led to demand for standardized accounting rules. The SEC was created in the US.
1973	International Accounting Standards Committee (IASC) formed to create global standards. Later became the International Accounting Standards Board (IASB).

Period	Development
2005	Many countries (including the Philippines) adopted International Financial Reporting Standards (IFRS).

Part 3: Branches of Accounting and Its Services

Accounting is not a single, uniform field. It has several branches, each serving different purposes and different users.

Major Branches of Accounting

Branch	Focus	Primary Users	Examples of Services
Financial Accounting	Recording and reporting financial transactions for external users	External (investors, creditors, government)	Preparing financial statements (income statement, balance sheet, cash flow statement)
Management (Managerial) Accounting	Providing financial information for internal decision-making	Internal (managers, owners)	Budgeting, cost analysis, forecasting, performance evaluation
Cost Accounting	Analyzing and controlling costs of production	Internal (managers)	Calculating product costs, analyzing cost variances, setting selling prices

Tax Accounting	Preparing tax returns and planning tax strategies	External (government) and internal	Filing income tax, VAT, withholding tax; tax planning
Auditing	Independent examination of financial statements	External (investors, regulators)	External audit (independent CPA), internal audit (company staff)
Government Accounting	Recording and reporting government funds	External (citizens, oversight bodies)	Budget execution, fund accountability, public financial reporting
Forensic Accounting	Investigating financial crimes and disputes	External (courts, law enforcement)	Fraud investigation, litigation support, expert witness testimony
Fiduciary Accounting	Managing funds held for others	External (beneficiaries)	Estate accounting, trust accounting, receivership

Services Offered by Accountants

Service	Description	Example
Bookkeeping	Recording daily financial transactions	Recording sales, purchases, receipts, payments
Financial statement preparation	Preparing income statement, balance sheet, cash flow statement	Annual report for shareholders
Tax preparation and filing	Computing and filing tax returns	Annual income tax return, quarterly VAT returns

Tax planning	Advising on strategies to minimize tax legally	Suggesting retirement plans or expense timing
Auditing	Examining financial records for accuracy and compliance	Independent audit required for corporations
Consulting	Advising on financial management, systems, and processes	Setting up accounting system for a startup
Forensic investigation	Detecting and documenting fraud	Investigating embezzlement
Budgeting and forecasting	Preparing financial plans and projections	Annual budget for a small business

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Part 4: Users of Accounting Information

Accounting information is not useful in isolation. It is useful only when it reaches people who need it to make decisions. These people are called **users** of accounting information. Users are divided into two categories: internal users and external users.

Internal Users

Internal users are individuals inside the organization who use accounting information to make decisions about running the business. They have access to detailed, frequent, and forward-looking information.

User	What They Need	How They Use It
Owners/shareholders	Profitability, return on investment	Decide whether to invest more or withdraw

Managers (general)	Sales, costs, cash flow, budgets	Plan operations, allocate resources, evaluate performance
Marketing managers	Product profitability, customer margins	Set prices, plan promotions, discontinue products
Production managers	Cost per unit, production efficiency	Control costs, improve processes
Human resource managers	Payroll costs, benefits expense	Budget for salaries, plan hiring
Finance managers	Cash flow, debt levels, interest costs	Manage borrowing, invest excess cash

External Users

External users are individuals and organizations outside the business who use accounting information but do not have access to detailed internal records. They rely on general-purpose financial statements.

User	What They Need	How They Use It
Investors (potential)	Profitability, growth, risk	Decide whether to buy shares
Creditors (banks, suppliers)	Ability to repay debts, cash flow	Decide whether to lend money or extend credit
Government (BIR, SEC)	Taxable income, compliance with regulations	Assess taxes, enforce laws
Customers	Financial stability, long-term viability	Decide whether to enter long-term contracts

User	What They Need	How They Use It
Employees	Job security, ability to pay wages	Assess company stability for career decisions
Labor unions	Profitability for wage negotiations	Bargain for higher wages or benefits
Competitors	Benchmarking performance	Compare their performance against industry
General public	Economic impact, environmental compliance	Assess corporate citizenship

Comparison of Internal and External Users

Aspect	Internal Users	External Users
Location	Inside the organization	Outside the organization
Access to information	Detailed, frequent, forward-looking	General-purpose financial statements only
Primary decisions	Operational and strategic (run the business)	Investment, credit, regulatory, or contractual
Examples	Managers, owners, employees	Investors, banks, government, suppliers

Part 5: Basic Accounting Framework – GAAP and PFRS

Accounting follows rules and standards so that financial statements are consistent, comparable, and reliable. Without common rules, every business could report its finances differently, making it impossible to compare one company's performance with another's.

What Is GAAP?

Generally Accepted Accounting Principles (GAAP) are the common set of accounting rules, standards, and procedures that companies use to prepare their financial statements. GAAP ensures that financial information is consistent, comparable, reliable, and relevant.

In the Philippines, GAAP is largely based on the Philippine Financial Reporting Standards (PFRS) and Philippine Accounting Standards (PAS), which are adapted from the International Financial Reporting Standards (IFRS).

What Are PFRS and PAS?

Standard	Full Name	Description
PFRS	Philippine Financial Reporting Standards	Standards for specific reporting situations (e.g., business combinations, financial instruments)
PAS	Philippine Accounting Standards	Individual accounting standards for specific topics (e.g., inventory, property, revenue)
IFRS	International Financial Reporting Standards	Global standards on which PFRS and PAS are based

The Philippine Financial Reporting Standards (PFRS) are the accounting standards adopted by the Philippines through the Financial Reporting Standards Council (FRSC). These standards are based on the International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB).

Key Accounting Concepts and Principles

The following are fundamental concepts that underlie GAAP, PFRS, and PAS. These principles guide how accountants record transactions and prepare financial statements. They ensure that financial information is consistent, comparable, and reliable across different businesses and time periods.

Entity Concept

The entity concept requires that the business be treated as separate and distinct from its owners, managers, employees, and other businesses. This means that personal transactions of the owner are not recorded in the business's accounting records. Only transactions that affect the business itself are included. For example, if an owner buys groceries for their family, that expense belongs to the owner personally, not to the business. If the owner invests personal cash into the business, that transaction is recorded because it affects the business. This concept allows financial statement users to evaluate the business's performance on its own merits, without confusion from the owner's personal affairs.

Example: An owner's personal medical bill is not recorded in the business books. The owner's personal vehicle used for family trips is not recorded as a business asset. However, if the owner uses personal cash to buy inventory for the store, that transaction is recorded as an owner investment.

Going Concern

The going concern concept assumes that the business will continue to operate indefinitely into the foreseeable future. In other words, the business is not expected to liquidate (sell all assets and close down) in the near term. This assumption justifies recording assets at their original cost rather than at fire-sale liquidation values. It also allows businesses to depreciate assets over their useful lives rather than expensing them immediately. If there is evidence that a business may not survive (e.g., repeated losses, inability to pay debts, bankruptcy filing), the going concern assumption no longer applies. In that case, assets must be reported at their net realizable value (what they could be sold for quickly).

Example: A profitable restaurant purchases kitchen equipment for ₱500,000. Under the going concern assumption, the equipment is recorded at ₱500,000 and depreciated over 5 years. If the restaurant were closing next month, the equipment would be recorded at its fire-sale value of maybe ₱50,000.

Monetary Unit

The monetary unit concept requires that only transactions that can be expressed in monetary terms (a common currency) be recorded in the accounting records. In the Philippines, this means Philippine pesos (₱). Events that affect the business but cannot be quantified in pesos are not recorded, no matter how important they may be. For example, employee morale, customer satisfaction, brand reputation, and the quality of management are all critical to business success. However, because they cannot be reliably measured in pesos, they do not appear in financial statements. This is a limitation of accounting, not a flaw in the concept. Accountants acknowledge that financial statements do not tell the complete story of a business.

Example: A company hires an excellent new manager who doubles sales. The manager's skill is valuable, but it is not recorded as an asset on the balance sheet. The resulting increase in sales will be recorded when it happens, but the manager's talent itself is not a monetary transaction.

Time Period

The time period concept, also called the periodicity concept, requires that the indefinite life of a business be divided into equal time periods for reporting purposes. These periods are typically months, quarters (three months), or years. Without this concept, businesses would wait until they eventually close to prepare a single financial statement. Users need information more frequently than that. Investors, creditors, and managers need regular updates to make timely decisions. The time period concept allows businesses to report performance and financial position at regular intervals, even though some allocations (like depreciation) require estimates.

Example: A business prepares monthly financial statements to monitor performance. An income statement for January shows revenues earned and expenses incurred only in January. A quarterly report covers January through March. An annual report covers the full calendar or fiscal year.

Historical Cost

The historical cost concept requires that assets be recorded at their original purchase price when acquired. This original cost is objective and verifiable because it is supported by invoices, receipts, and contracts. After acquisition, the asset may increase or decrease in value. However, accounting does not typically adjust the recorded amount to reflect these market changes. The only exceptions are when an asset is permanently impaired (loss of value) or when the asset is sold. Conservatism and verifiability justify this approach. While market value might be more relevant, it is also more subjective. Two different appraisers might give two different values. Historical cost is certain.

Example: A company bought land for ₱1 million ten years ago. Today, the land is worth ₱5 million. Under historical cost, the land still appears on the balance sheet at ₱1 million. The increase in value is not recorded until the land is sold. If the land were later sold for ₱5 million, the ₱4 million gain would be recorded at that time.

Matching Principle

The matching principle requires that expenses be recorded in the same accounting period as the revenues they helped generate. The goal is to match the costs incurred to produce revenue against the revenue itself. This gives a more accurate picture of profitability than simply recording cash inflows and outflows. For example, the cost of goods sold (the expense of buying or producing inventory) is recorded in the same period as the sales revenue from selling that inventory. Similarly, a sales commission expense is recorded when the sale is made, not when the commission is paid. This principle is fundamental to accrual accounting.

Example: A store sells a laptop for ₱50,000 in December. The store purchased that laptop from a supplier for ₱35,000 in November. Under the matching principle, the ₱35,000 cost of goods sold appears on the December income statement, not the November income statement, because December is when the sale occurred.

Revenue Recognition

The revenue recognition principle requires that revenue be recorded when it is earned, regardless of when cash is received. Revenue is considered earned when the seller has substantially completed the work required to be entitled to payment. For most sales of goods, this happens when the goods are delivered to the customer. For services, it happens when the service is performed. This principle prevents businesses from inflating revenue by recording sales before they are complete. It also ensures that revenue appears in the correct period.

Example: A contractor agrees to build a house for ₱2 million. The work is completed in December, but the customer pays in January. Under revenue recognition, the contractor records the ₱2 million revenue in December (when earned), not January (when cash is received). If the customer paid a deposit in November before any work was done, that deposit is not recorded as revenue until the work is performed.

Accrual Basis

The accrual basis of accounting is the method required by GAAP, PFRS, and PAS. It requires that transactions be recorded when they occur, not when cash changes hands. This means revenues are recorded when earned (revenue recognition principle) and expenses are recorded when incurred (matching principle). The alternative is cash basis accounting, which records revenue when cash is received and expenses when cash is paid. Cash basis is simpler but less accurate for measuring performance. The accrual basis provides a more complete picture of profitability and financial position.

Example: A business incurs utility expense of ₱10,000 in December but pays the bill in January. Under accrual basis, the ₱10,000 expense is recorded in December (when incurred). Under cash basis, it would be recorded in January (when paid). The accrual basis shows December's true expenses, while cash basis would understate December expenses and overstate January expenses.

Consistency

The consistency principle requires that a business use the same accounting methods and procedures from one accounting period to the next. This allows users to compare financial statements across periods. If a company changed its inventory valuation method every year, it would be impossible to tell whether changes in reported profit were due to actual performance or merely a change in accounting method. If a business decides to change a method, it must disclose the change in the financial statements and explain the effect on reported amounts.

Example: A business uses the FIFO (First-In, First-Out) method to value its inventory. It must continue using FIFO each year. If it decides to switch to Weighted Average, it must disclose the change in the footnotes and state how much profit increased or decreased because of the change.

Materiality

The materiality principle allows accountants to ignore the strict application of other accounting principles when the effect on the financial statements would be insignificant. An item is material if its omission or misstatement could influence the decisions of a reasonable user of the financial statements. Immaterial items can be handled in the most convenient way, even if technically incorrect. This principle reduces the cost and effort of accounting by allowing accountants to focus on what matters. What is material depends on the size of the business and the nature of the item.

Example: A large corporation buys a wastebasket for ₱500. According to the matching principle, this asset should be depreciated over its useful life (perhaps 5 years). However, the effect on the financial statements would be so small that users would not care. The company simply records the entire ₱500 as an expense immediately. For a very small business, ₱500 might be material and should be treated properly.

Conservatism

The conservatism principle, also called prudence, requires that accountants choose the accounting method that is least likely to overstate assets or income when there is uncertainty. If two equally acceptable alternatives exist, the one that produces lower assets, lower income, or higher liabilities should be chosen. Conservatism does not mean deliberately understating everything. It means avoiding optimism that could mislead users. This principle is especially important when dealing with estimates, such as the likelihood of collecting accounts receivable or the useful life of equipment.

Example: A business is unsure whether a customer will pay a ₱100,000 receivable. Under conservatism, the business records an allowance for doubtful accounts, reducing accounts receivable to the amount expected to be collected. The business does not record potential gains, such as the possibility that land might increase in value. Gains are recorded only when realized; losses are recorded when they become probable.

Full Disclosure

The full disclosure principle requires that all information that could affect the decisions of a reasonable user be included in the financial statements or the accompanying notes and footnotes. The financial statements themselves cannot capture every detail. However, the notes can provide additional context, explain accounting policies, describe unusual transactions, and disclose risks. Full disclosure ensures that users have access to all material information, even if it does not fit neatly into the financial statement line items.

Example: A company is being sued by a former employee for ₱5 million. The lawsuit has not yet been resolved. The company does not record a liability yet because the outcome is uncertain. However, under full disclosure, the company must describe the lawsuit in a footnote to the financial statements so users know about the potential future loss.

The Regulatory Framework in the Philippines

Body	Role
Financial Reporting Standards Council (FRSC)	Sets accounting standards in the Philippines (PFRS and PAS)
Securities and Exchange Commission (SEC)	Requires corporations to file audited financial statements
Bureau of Internal Revenue (BIR)	Requires tax returns based on accounting records
Professional Regulation Commission (PRC)	Licenses Certified Public Accountants (CPAs)
Board of Accountancy (BOA)	Regulates the accountancy profession

Key Terms

Term	Definition
Accounting	The process of identifying, recording, classifying, summarizing, and communicating financial information
Double-entry bookkeeping	System where every transaction affects at least two accounts (debit and credit)
Financial accounting	Branch focused on external users; prepares financial statements
Management accounting	Branch focused on internal users; provides information for decision-making
Auditing	Independent examination of financial statements for accuracy and compliance
GAAP	Generally Accepted Accounting Principles – common rules for financial reporting
PFRS	Philippine Financial Reporting Standards – accounting standards used in the Philippines
IFRS	International Financial Reporting Standards – global accounting standards
Internal users	Individuals inside the organization who use accounting information
External users	Individuals and organizations outside the business who use accounting information
Entity concept	The business is separate from its owners

Term	Definition
Going concern	Assumption that the business will continue operating indefinitely
Accrual basis	Transactions recorded when they occur, not when cash changes hands
Matching principle	Expenses recorded in the same period as the revenues they helped generate

Review Questions

1. Define accounting. What are the five functions of accounting (recording, classifying, summarizing, interpreting, communicating)?

2. Who is Luca Pacioli and why is he important to the history of accounting?

3. List four branches of accounting. For each branch, state its primary focus and one example of a service offered.

4. What is the difference between internal users and external users of accounting information? Provide two examples of each.

5. A bank manager is deciding whether to approve a loan for a small business. Is this user internal or external? What accounting information would the bank manager need?

6. What is GAAP? Why is it important for accounting?

7. What are PFRS? How do they relate to IFRS?

8. Explain three of the following accounting concepts: entity concept, going concern, historical cost, matching principle, or accrual basis. Provide an example for each.

9. What is the difference between financial accounting and management accounting? Who are the primary users of each?

10. Application question: A small retail store owner wants to know whether the business is profitable after one year of operations. What accounting information does the owner need? Is this user internal or external? Which branch of accounting would prepare this information? Which accounting concept requires the business records to be separate from the owner's personal records?